

Weekly Market View

Equities break out

→ Positive earnings and softening US bond yields have supported a breakout in major equity market indices.

→ We see room for this to extend, but would ensure portfolios avoid excessive regional or sector concentrations.

→ The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold.

→ Japan-US yen intervention likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Will the RBA raise rates? What does that mean for AUD bonds?

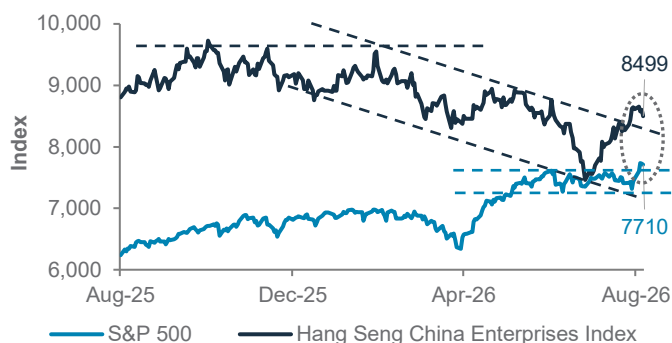
Do recent earnings signal a healthy AI investment cycle?

What does the RBI rate decision mean for Indian bond yields?

Charts of the week: Equities start to break out of recent ranges

US, China equities breaking higher amid strong earnings & softer bond yields. Yen intervention a key reason for DXY fall.

S&P500 and HSCEI equity indices



Source: Bloomberg, Standard Chartered

DXY (USD Index) and USD/JPY



Editorial

Equities break out

Strategy summary: Positive earnings and softening US bond yields have supported a breakout in major equity market indices. We see room for gains to extend, but would ensure portfolios avoid excessive regional or sector concentration. The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold. Japan-US intervention in the Yen currency market likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Major equity markets have broken out of their recent sideways or down-trending ranges in recent days: This shift is visible in US, Euro area and Japan equities, but also within the major Asian markets – China and India –to varying degrees. This technical breakout has focused attention on an improving near-term outlook after recent weakness.

Earnings, bond yields signal gains set to extend: In the US, a strong earnings season has been a key contributor, with approximately 85% of S&P500 companies beating consensus expectations (vs. a long-term average of 67%). In China, we also expect a positive earnings season as earnings reports kick off next week. Meanwhile, the pause in US real (net-of-inflation) bond yields from close to multi-decade highs is also a key positive. Together these factors argue recent equity markets gains have room to extend.

Keep regional, sector exposure diversified: While it is tempting to expect a return to concentrated sector or regional market gains, we believe recent market rotations argue for keeping exposure more broadly diversified. We are also mindful of seasonal and US election-related risks later in the year.

Overweight US, Asia ex-Japan; US financials recently upgraded: We retain our Overweight views on US and Asia ex-Japan equities as well as core holdings to Japan and Euro area stocks. However, this applies equally at a sector level. The

S&P500, for example, comprises approximately 45% growth sectors, 35% cyclical sectors and 20% defensive sectors. Our opportunistic idea on US communication services is a good example of gaining attractive exposure to growth. However, our recent upgrade of US financials on the back of higher yields and M&A activity reflects an attractive route to add cyclicals.

Announcement of an Oman-Iran deal on Strait of Hormuz reinforces rangebound oil price view: Reports of an Oman-Iran agreement to reopen shipping in the Strait of Hormuz reinforced recent softness in oil prices. While recent history shows it can pay to be sceptical of headline deals until evidence emerges of changes in actual activity, the announcement reinforces our view that oil prices remain largely rangebound within USD 70-90/bbl. This should help keep a lid on oil-related inflation worries, thereby helping cap real bond yields and, in turn, avoid disrupting recent optimism in equities.

Capped real yields positive for income and gold: Looking beyond equities, we also see the softening of real bond yields as pointing to an opportunity to lock in attractive yields in short maturity bonds. Softening real yields should also reduce headwinds for gold, where prices have similarly broken above recent ranges. We view gold as a core allocation.

Yen intervention introduces greater two-way volatility, but weak Yen fundamentals remain in place: Coordinated Japanese-US intervention raises the credibility and likely impact of the recent intervention to strengthen the Japanese Yen. However, the persistence of the sizeable gap between Japanese and US interest rates means the fundamental factor driving Yen weakness remains unchanged.

Rate differential attractive for carry trades; USD/JPY likely rangebound for now: JPY-funded carry trades remain attractive given the wide yield differential, although higher intervention risk may encourage lower leverage and tighter risk management. However, the pace of BoJ rate hikes remains the key risk. Near-term, USD/JPY is likely to stay rangebound.

— Manpreet Gill

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

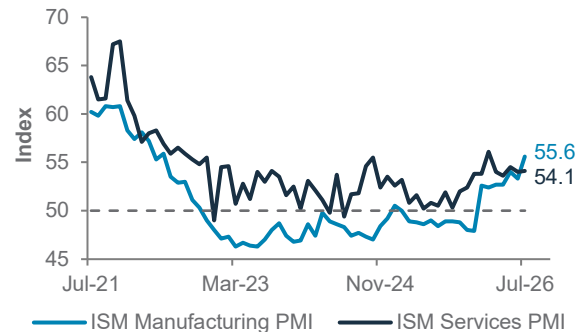
(+) factors: Robust US manufacturing activity; likely easing geopolitical tensions and prospect of resumption of Hormuz strait shipping

(-) factors: Weaker-than-expected US job market, weak China activity and escalating trade tensions between the US and China

	Positive for risk assets	Negative for risk assets
Macro data	US ISM manufacturing PMI rose more than expected to 55.6 in July, with rising new orders and employment sub-indices	- US ISM services PMI missed estimates in July, prices paid rose and employment sub-index fell - US private sector employment (Jul) and US JOLTS job openings (Jun) missed estimates - Euro area core consumer price index rose more than expected in July - China mfg and non-mfg PMIs fell more than expected in July
	Our assessment: Negative – Weaker-than-expected US job market, slower US services activity, and weak China activity	
Policy developments	- Fed's Paulson and Williams said rates remain "well positioned" - RBI kept the repurchase rate unchanged and retained a neutral stance	Fed's Schmid, Kashkari and Cook emphasised further monetary policy tightening as necessary
	Our assessment: Neutral – Divergent Fed views, RBI on hold	
Other developments	- Iran reached an agreement with Oman on a temporary shipping route through the Strait of Hormuz, but stressed it does not mean a full reopening - US confirmed a new round of facilitated talks between Israel and Lebanon	- Iran reported to be looking at barring US and Israeli ships from the strait - US plans ban on Chinese optical transceiver imports, and impose a 15% tariff and minimum price floors on imported polysilicon - China retaliated against US with sanctions and tighter export on drones
	Our assessment: Neutral – Easing geopolitical tensions vs. escalating trade tensions between the US and China	

US manufacturing PMI hit its highest level since May 2022 driven by a surge in production and new orders, while the services sector continued its steady expansion

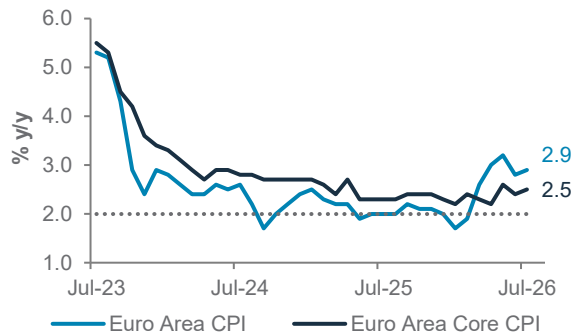
ISM manufacturing PMI and services PMI



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose 2.9% y/y in July as expected, driven by higher energy cost pressures

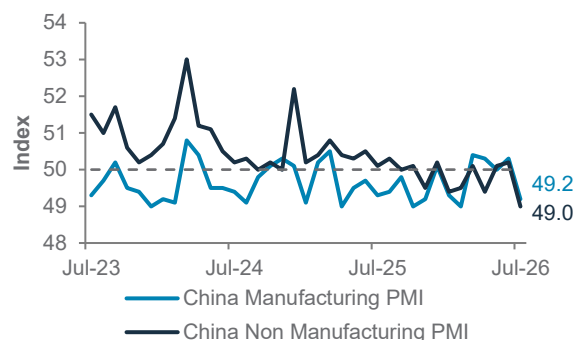
Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs fell into contraction territory in July, signalling a loss of economic momentum

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q Do recent Big Tech earnings support the view of a healthy AI investment cycle?

Our view: Yes. We remain constructive on investing in the AI theme, expressed through our Overweight to the US technology sector or via our Opportunistic ideas on US communication services, MSCI Taiwan and global power and electrification.

Rationale: A key concern heading into Big Tech earnings was the ability to monetise substantial AI investments. The results so far largely suggest that **AI investments are supporting real commercial demand rather than simply adding speculative capacity**. Based on current trends, we estimate AI-related returns on investment (ROI) for Big Tech companies with strong cloud businesses at around **25-30%**, indicating returns are becoming increasingly tangible.

While the **ROI remains attractive**, we believe the uncertainty relates to whether hyperscalers have committed too much capital around AI, too quickly. This reflects concerns about the ability of hyperscalers to pause or reverse the investment cycle should the macro situation deteriorate. When investment obligations become large and long dated, the market can become worried about execution risk just as much as return potential. **We remain confident in Big Tech companies' ability to manage their AI investments.**

— Fook Hien Yap, Senior Investment Strategist

Q Can the rally and outperformance of China equities continue?

Our view: We remain Overweight China equities and expect the rally to extend into H2, supported by China's policy stimulus, technological goals, earnings support and cheap valuations.

Rationale: The MSCI China Index has rebounded 9.6% since June-end but remains **down c.7% year to date (YTD)**, compared with global equities – which are up c.14%. This points to **substantial catch-up potential**.

China's July 2026 Politburo meeting, while stopping short of announcing fresh stimulus, pledged to "roll out **pragmatic and effective new policies** in a timely manner", reinforcing a **supportive backdrop** for the economic outlook. Structurally, the country's push for innovation, supply-chain localisation and technological self-reliance, despite US chip restrictions, is bolstering sentiment, with an **AI IPO wave** fuelling stronger investor interest in equities.

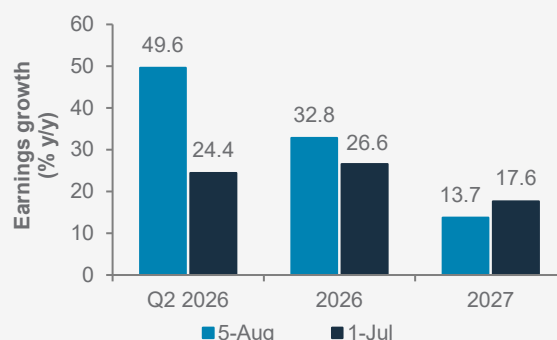
Major Chinese technology names are set to report earnings soon, where **accelerating AI commercialisation** and **high-performing domestic AI models** with lower development costs than their US peers are expected to support the growth outlook.

China trades at a **c.11x forward price-to-earnings (P/E) ratio**, making it one of the cheapest major markets globally, with ample room for a valuation re-rating. However, **regulatory changes** could limit the financial sector's near-term valuation re-rating potential.

— Jason Wong, Senior Equity Analyst

US Q2 earnings season has been excellent, with substantial upgrades to 2026 earnings growth forecasts, partly offset by lower 2027 earnings growth expectations

Consensus earnings growth projections for the S&P500 Index as of 5 August 2026 and 1 July 2026



Source: LSEG I/B/E/S, Standard Chartered

We see the China equity rally extending into H2. The MSCI China Index remains down c.7% YTD, despite its recent rebound, implying room to catch up

MSCI China Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How will the US Treasury borrowing plan and Q3 Quarterly Refunding Announcement affect US government bond yields?

Our view: We expect the yield premium to remain elevated and prefer shorter-tenor bonds, particularly in the 3-5-year segment.

Rationale: The US Treasury's Q3 2026 borrowing estimate of USD 739bn – USD 68bn above the May forecast – reflects **deteriorating net cash flows**. Yet the **yield reaction was mild** after the borrowing announcement, likely explained by the continued heavy reliance on T-bill issuance amid **strong support from money market funds**. T-bills currently represent **c.23.7%** of total outstanding debt, remaining below the peak of over 28% during the Covid-19 period.

While **the front-loading of bill issuance keeps short-end rates anchored**, it only delays, but does not eliminate, the eventual need for longer-dated bond auctions. The pressure on long-end yields is thus just being deferred. According to the US Treasury, **projected issuance will rise to USD 4.9trn by 2028** from USD 4.4trn in 2026. Because longer-dated bonds tie up investors' money for longer, they carry more risk and put more strain on the market than short-term bonds of the same USD amount. Once this is accounted for, the extra borrowing translates into the equivalent of **USD 350bn-520bn** in additional 10-year US government bond supply per year – representing the true weight of new bonds the market will need to absorb annually. The **yield differential between 2- and 10-year US government bonds has steepened materially** in the past month, consistent with the market pricing in a higher terminal rate at the front end while long-end yield premia expand amid supply pressure.

— Ray Heung, Senior Investment Strategist

Q What are the implications of hyperscaler debt issuance for the US corporate bond market?

Our view: Shorter-dated, high-quality bonds in the 1-5-year segment should remain relatively well bid, while medium- to long-dated maturities face broader spread pressure. We see an opportunity to add high-quality bonds in the 3-5-year tenor.

Rationale: The US investment-grade (IG) corporate bond market is experiencing an **unprecedented supply surge** in 2026, driven primarily by major hyperscalers' AI infrastructure spending ambitions. June set a new monthly record for IG issuance at over USD 180bn, with **several brokers raising their IG issuance forecasts for 2026**. This volume has created technical indigestion.

Investors in front-end and medium maturities are **absorbing new supply** by recycling redemption proceeds/coupon income. However, **asset managers/dealers** are approaching risk limits in the belly and the long end of the curve, while **insurers** – historically key buyers of long-dated tech bonds – are at or near their target allocations.

For hold-to-maturity investors, this presents an opportunity to **lock in high-quality income from highly rated bonds**, especially in our recommended 3-5-year tenor.

— Ray Heung, Senior Investment Strategist

Treasury bills (T-bills) as a proportion of total US debt remain below the peak reached during the Covid-19 period

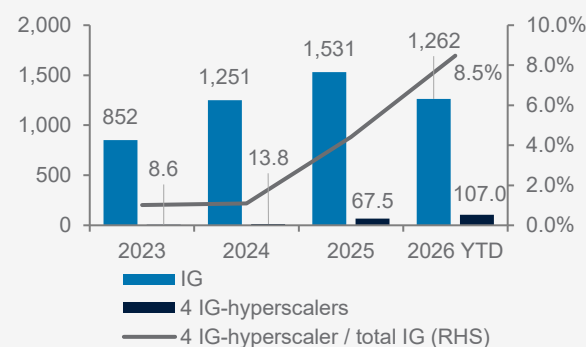
T-bills as a percentage of total US government debt



Source: Bloomberg, Standard Chartered

Fast and furious – hyperscaler debt issuance is rising rapidly, both in absolute volume and as a share of total IG issuance

Total US IG and top four US hyperscaler bond issuance 2023-25 and 2026 YTD (USD bn)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Will the RBA raise rates next week? What might be the implications for the Australian dollar (AUD) and AUD bonds?

Our view: We expect the RBA to keep rates unchanged at 4.35% at its 11 August policy meeting, broadly in line with market expectations. We believe this presents an opportunity to lock in higher yields in AUD corporate bonds. We maintain our modestly bullish view on the AUD.

Rationale: The market is pricing in a **95% chance** that the RBA will hold rates steady next week, but we expect the messaging to retain a **hawkish bias**, with **inflation risks still lingering**. However, a potentially slowing economy later in 2026 could give the RBA more reasons to refrain from further hikes. We believe **the market has already priced in the 'hawkish hold' narrative**. We reiterate our **Opportunistic buy idea** on AUD corporate bonds to capture still-attractive yields.

For the AUD, a rate hold along with hawkish guidance should remain supportive, but expectations of slower economic growth may temper gains. We remain **modestly bullish on the AUD** and forecast AUD/USD at **0.74** over three months and **0.75** over 12 months.

— Ray Heung, Senior Investment Strategist

Q After the RBI's decision to leave its benchmark repo rate unchanged at 5.25%, what is your view on India bond yields?

Our view: The yield downtrend is expected to continue for the next few months, aided by the benefits from the RBI's capital inflow measures. Our investment stance favours carry strategies in short- to medium-duration bonds (up to five years), with only a tactical allocation to longer duration, as the long end is expected to be more volatile.

Rationale: The RBI's August 2026 monetary policy meeting kept the repo rate unchanged, maintaining a **Neutral stance but with a dovish tilt**. India's FY27 **growth estimate has been revised upwards** by 10bps, reflecting robust domestic demand conditions and strong exports. The FY27 **consumer inflation estimate has been revised lower** by 10bps as core inflation remained broadly steady. The RBI is likely to **wait and watch** while assessing the monsoon and crude oil data. The case for tightening would become stronger if second-order effects of inflation become visible.

The response to the RBI's recent capital inflow measures has been encouraging, with c.USD 40bn of flows generated via offshore deposit and borrowing schemes and c.USD 8bn of debt foreign portfolio investment (FPI) inflows received over the last two months. Improved liquidity is expected to moderate banks' credit-to-deposit ratios, with **short-end yields drifting lower in the near term**.

Given the steepness of the yield curve, a **tactical allocation towards the long end of the yield curve** is supported by FPI demand, moderating inflation expectations and government borrowing shifting to lower maturities, although **the long end is expected to remain volatile because of oil price volatility**.

— Shaily Gang, Chief Investment Strategist, India

Markets expect the RBA to keep rates unchanged

Market-implied number of 25bps RBA rate cuts/hikes by August and December 2026



Source: Bloomberg, Standard Chartered

Response to the RBI's capital inflow measures

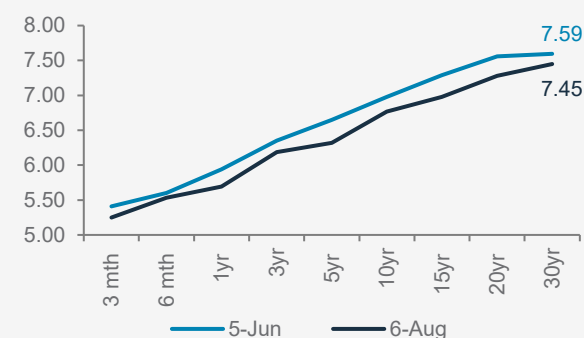
Foreign Currency Non-resident (Bank) (FCNR [B]), Overseas Foreign Currency Borrowing (OFCB) and External Commercial Borrowings (ECB) flows garnered by 31 July 2026

USD bn	31-Jul-26	17-Jul-26
FCNR (B)	36.7	17.4
OFCB	2.6	2.0
ECB	1.5	1.4
Total	40.8	20.8

Source: Press Releases – Reserve Bank of India

Yield curve shifted lower following the RBI's capital inflow measures; further declines expected

Shift in the India government bond yield curve since the RBI's June 2026 policy meeting



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What are the implications of the coordinated US-Japan intervention for USD/JPY, JPY carry trades and Japan equities?

Our view: The coordinated US-Japan FX intervention has strengthened the credibility of official action and should limit sharp speculative rises in USD/JPY. Japan's authorities appear focused on curbing disorderly moves rather than reversing the underlying trend.

Rationale: Japan's official FX intervention has changed near-term market dynamics but has not altered our medium-term JPY outlook. **We still expect one more BoJ rate hike this year**, while relatively high US interest rates should continue to support USD/JPY.

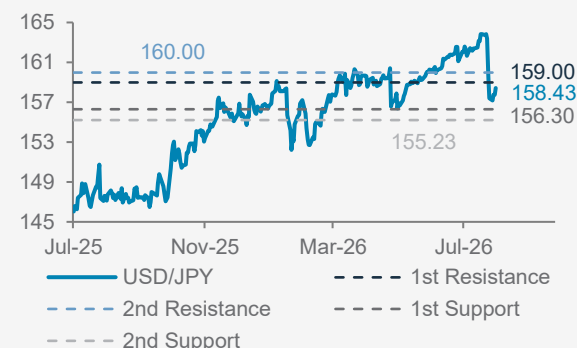
JPY-funded carry trades remain fundamentally attractive, given the still-wide US-Japan interest rate differential, although higher intervention risk may encourage **lower leverage** and **tighter risk management**. Policymakers appear focused on limiting disorderly moves rather than defending a specific exchange-rate level. **Resistance** is expected at 159.00 and 160.00, while **support** lies at 156.30 and 155.23.

We maintain a **Core holding stance** on Japan equities. Consensus 2026E earnings-per-share growth has been revised materially higher amid a **reflating economy** and ongoing **Corporate Governance Code reforms**. JPY volatility introduces a headwind, as c.56% of revenues for MSCI Japan are derived from overseas.

— **Ray Heung**, Senior Investment Strategist
— **Jason Wong**, Senior Equity Analyst

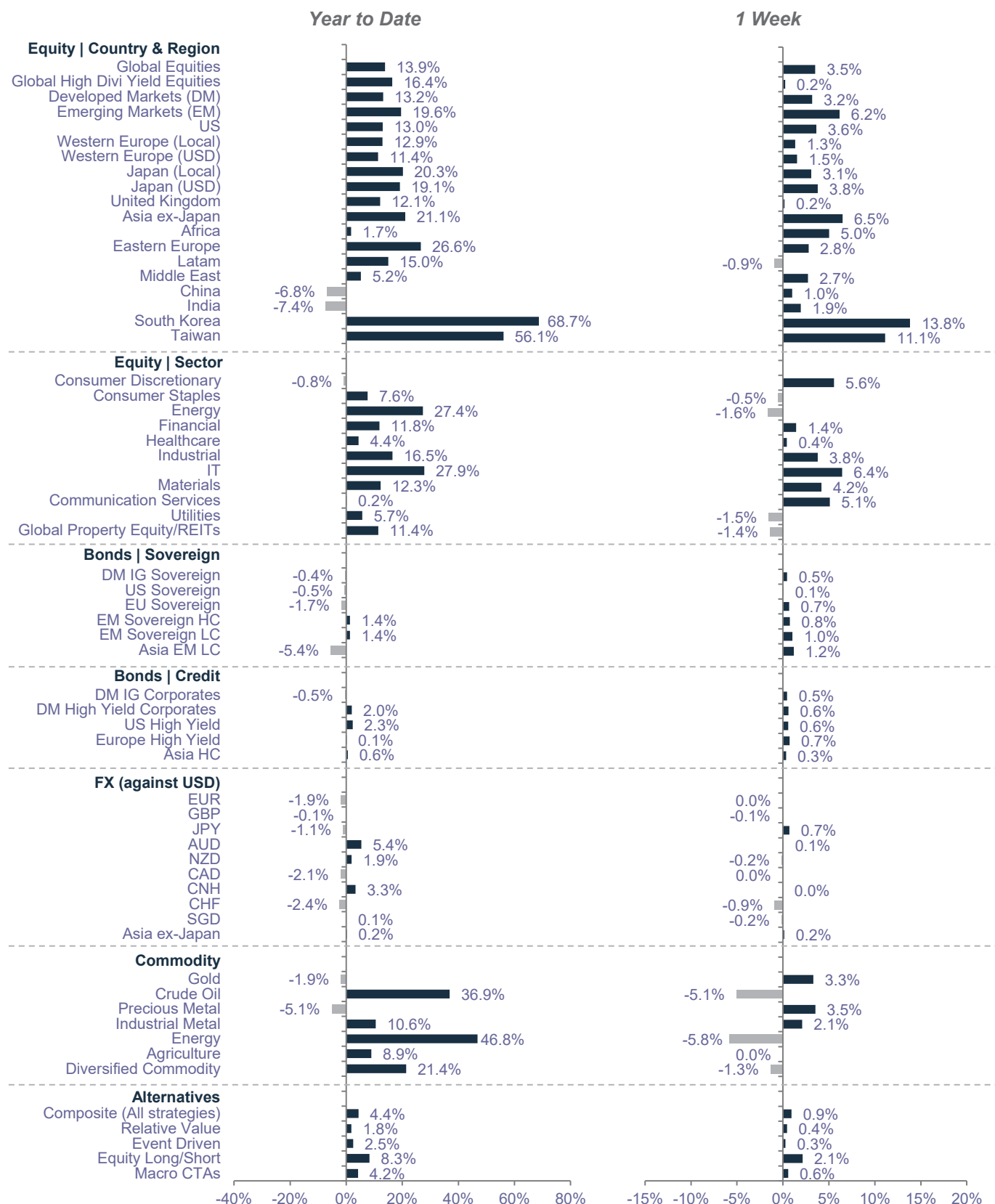
USD/JPY: Market testing higher levels amid intervention concerns

USD/JPY spot exchange rate with key technical support and resistance levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 6 August 2026; 1-week period: 30 July 2026 to 6 August 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ◆	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,898

Technical indicators for key markets as of 6 Aug close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,710	7,418	7,898	20.0	1.1
STOXX 50	6,503	6,280	6,627	15.5	3.1
FTSE 100	10,868	10,514	11,106	13.0	3.7
TOPIX	4,056	3,897	4,176	16.5	2.3
Shanghai Comp	3,900	3,736	4,070	12.9	3.2
Hang Seng	25,530	23,890	26,679	10.7	3.4
Nifty 50	24,636	23,903	25,071	18.6	1.8
MSCI Asia ex-Japan	1,094	1,022	1,152	10.4	2.3
MSCI EM	1,659	1,555	1,741	10.1	2.7
Crude oil (WTI)	77.3	66.1	91.0	na	na
Gold	4,239	4,031	4,376	na	na
UST 10Y Yield	4.68	4.52	4.79	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Aug	–	-3.1
	AUD	RBA Cash Rate Target	11-Aug	4.4%	4.4%
TUE	USD	NFIB Small Business Optimism	Jul	–	97.4
	USD	CPI y/y	Jul	3.5%	3.5%
WED	USD	Core CPI y/y	Jul	2.5%	2.6%
	GBP	GDP y/y	2Q P	–	0.9%
THU	USD	Initial Jobless Claims	8-Aug	–	–
	USD	Continuing Claims	1-Aug	–	–
	USD	PPI Final Demand y/y	Jul	–	5.5%
	USD	PPI Ex Food and Energy y/y	Jul	–	4.7%
FRI/SAT	USD	Retail Sales Control Group	Jul	0.3%	0.5%
	USD	U. of Mich. Sentiment	Aug P	54	55.2

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 6 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.22
Global Equities	●	↑	1.59
Gold	○	→	1.49
Equity			
MSCI US	●	↑	1.51
MSCI Europe	○	→	1.49
MSCI AC AXJ	●	↑	1.78
Fixed Income			
DM Corp Bond	●	↑	2.56
DM High Yield	●	↑	1.60
EM USD	●	↑	2.39
EM Local	●	↑	2.06
Asia USD	●	↑	2.05
Currencies			
EUR/USD	○	→	1.46

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ○ Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >



SC Wealth Insights

Find out more >



YouTube >



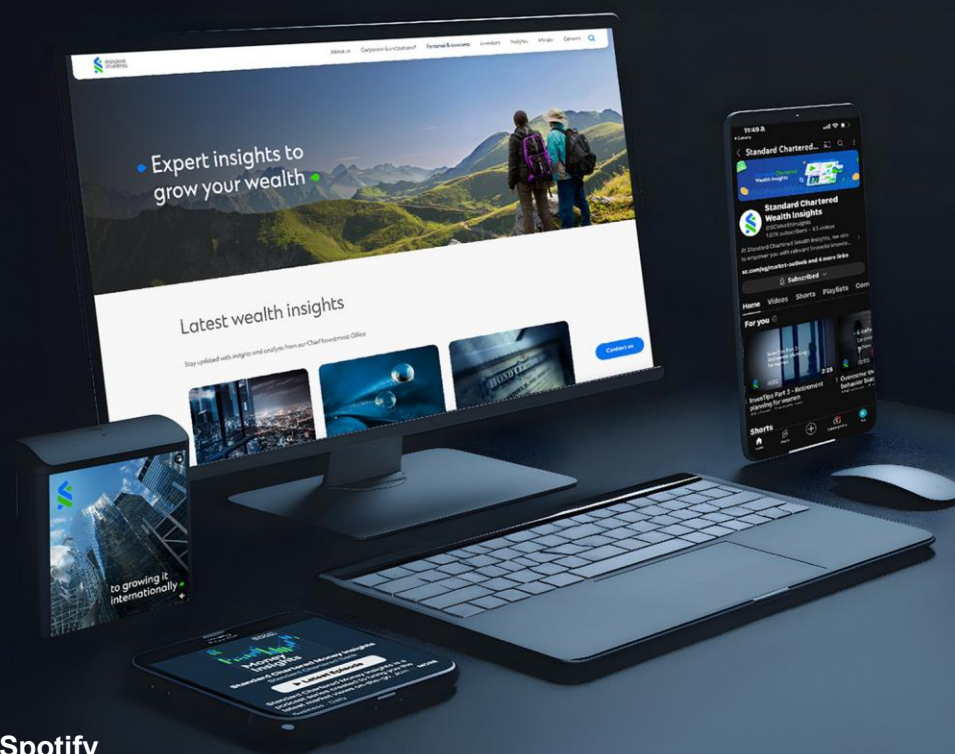
Facebook >



LinkedIn >



PvB LinkedIn >



SC Money Insights

4 podcasts shows on Spotify and Apple platforms



Spotify >



Apple Podcasts >



Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an "SC Group Entity") according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Copyright © 2026, Accounting Research & Analytics, LLC d/b/a CFRA (and its affiliates, as applicable). Reproduction of content provided by CFRA in any form is prohibited except with the prior written permission of CFRA. CFRA content is not investment advice and a reference to or observation concerning a security or investment provided in the CFRA SERVICES is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. The CFRA content contains opinions of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. While CFRA exercised due care in compiling this analysis, CFRA, ITS THIRD-PARTY SUPPLIERS, AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes. No content provided by CFRA (including ratings, credit-related analyses and data, valuations, model, software or other application or output therefrom) or any part thereof may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, and such content shall not be used for any unlawful or unauthorized purposes. CFRA and any third-party providers, as well as their directors, officers, shareholders, employees or agents do not guarantee the accuracy, completeness, timeliness or availability of such content. In no event shall CFRA, its affiliates, or their third-party suppliers be liable for any direct, indirect, special, or consequential damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with a subscriber's, subscriber's customer's, or other's use of CFRA's content.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright "buy", "sell", "hold" or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group's trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the

preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MSCI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana:** This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46:04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam:** This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland:** This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong:** In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not

be disposed of, to any person unless such person is outside Hong Kong or is a “professional investor” as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana:** Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India:** This document is being distributed in India by Standard Chartered in its capacity as a distributor of mutual funds and referrer of any other third party financial products. Standard Chartered does not offer any ‘Investment Advice’ as defined in the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 or otherwise. Services/products related securities business offered by Standard Chartered are not intended for any person, who is a resident of any jurisdiction, the laws of which imposes prohibition on soliciting the securities business in that jurisdiction without going through the registration requirements and/or prohibit the use of any information contained in this document. **Indonesia:** This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey:** In Jersey, Standard Chartered Global Private Bank is the Registered Business Name of the Jersey Branch of Standard Chartered Bank. The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom and all business transacted with Standard Chartered Bank, Jersey Branch and other SC Group Entity outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya:** This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia:** This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad (“SCBMB”). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria:** This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan:** This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited

acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore:** This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, "SCBSL"). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 ("SFA")). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S\$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S\$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary Authority of Singapore. **Taiwan:** SC Group Entity or Standard Chartered Bank (Taiwan) Limited ("SCB (Taiwan)") may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE:** DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority ("DFSA"). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis. **Uganda:** Our Investment products and services are distributed by Standard Chartered Bank

Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom:** In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. **Vietnam:** This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia:** This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.

Weekly Market View

Geopolitics, policy and earnings

→ The Houthis' blockade of the Red Sea following the resumption of US-Iran hostilities has driven a sharp rebound in energy prices and bond yields.

→ We expect US electoral constraints and Iranian restraint to eventually limit escalation in the conflict. Against this backdrop, central banks are likely to hold rates this month as they assess the impact of any temporary spike in energy prices on the inflation outlook.

→ Besides the spike in bond yields, equity markets will have to contend with lofty earnings expectations as the reporting season picks up.

→ We expect strong AI investment-driven earnings beats to drive upgrades to profit estimates. This should support continued equity market outperformance in the coming months.

→ In fixed income, inflation-protected bonds appear particularly attractive, especially in the US, where the inflation-adjusted yield has surged above 2.4%, close to the highest since 2008.

Remain overweight US tech and communications: Big tech to deliver strong earnings

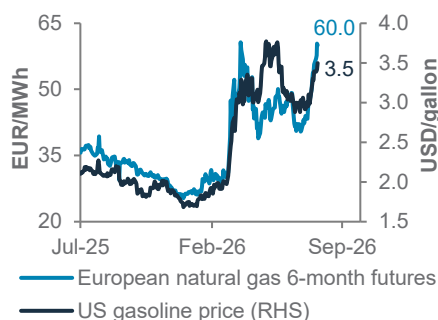
Bullish Japan and European financial sectors – high interest margins, solid dividends

Neutral to positive on CNH – Likely PBoC reserve ratio cut to have limited impact on CNH

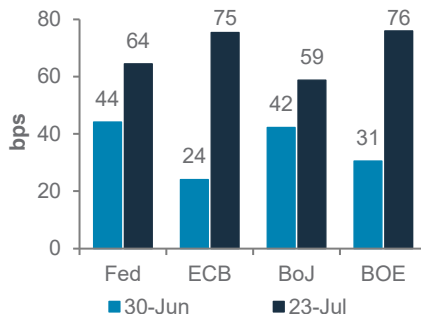
Charts of the week: Earnings likely to trump geopolitics

Oil prices and rate expectations are likely near their peak; strong earnings upgrades are likely to drive equities higher

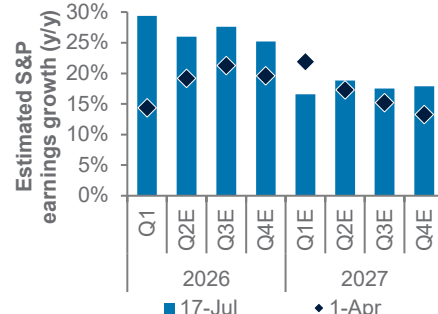
US gasoline and European natural gas 6-month forward prices



Money market expectations of key policy rates over next 12m; today vs. 30 June



Consensus earnings estimates for S&P500 index



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered

Editorial

Geopolitics, policy and earnings

Strategy summary: The Houthis' blockade of the Red Sea following the resumption of US-Iran hostilities has driven a sharp rebound in energy prices and bond yields. We expect US electoral constraints and Iranian restraint to eventually limit escalation in the conflict. Against this backdrop, central banks are likely to hold rates this month as they assess the impact of any temporary spike in energy prices on the inflation outlook.

Besides the spike in bond yields, equity markets will have to contend with lofty earnings expectations as the reporting season picks up. We expect strong AI investment-driven earnings beats, especially in the US and Asia, to drive upgrades to profit estimates. This should support continued equity market outperformance in the coming months. In fixed income, inflation-protected bonds appear particularly attractive, especially in the US, where the inflation-adjusted yield has surged above 2.4%, close to the highest since 2008.

Mideast conflict limited by US electoral constraints, Iran restraint: The re-escalation of tensions, with Yemen's Houthis joining the conflict, has driven European gas prices back to March peaks, but US gasoline prices remain well below the latest peaks. Notably, Iran has avoided attacking Saudi Arabia and UAE in the latest escalation, signalling restraint. While there is a window for further near-term escalation, any rebound in US gasoline prices closer to May's peaks in the run-up to November's mid-term elections is likely to put pressure on President Trump to resume negotiations. Thus, we expect US crude oil (WTI) to trade largely in the USD 70-90/bbl range in the next few months, limiting the economic impact.

Central banks to hold rates this month. We expect major central banks to hold rates this month as they assess the inflationary impact of the latest Middle East escalation. This was apparent from this week's ECB decision to hold its deposit rate at 2.25%, while it kept the option open for another rate hike later this year. Meanwhile, the softer-than-expected US inflation report for June confirmed our view that inflation peaked in Q2.

We expect the Fed to stay on hold this year as long as gasoline prices remain subdued, given slowing wage growth and cooling shelter and services inflation. As such, the 2-5-year segment of the bond yield curve looks increasingly attractive, especially if rate expectations peak with oil prices in the next few weeks.

ECB, BoJ under rising pressure to hike. The ECB, being an inflation-targeting central bank, is under growing pressure to hike rates in the coming months to counter any energy-price driven inflation if European natural gas prices stay elevated. We raise the probability of another 25bps rate hike later this year, with the timing dependent on the status of the US-Iran conflict and the pass-through of energy prices onto inflation and wage growth. The BoE is likely to be constrained from hiking rates, though, due to weakening domestic growth outlook. Meanwhile, the BoJ remains behind the curve as a weaker currency pours fuel on domestic wage-driven inflation. There is rising chance the BoJ hikes twice this year, if only to support the JPY.

Equities under rates, earnings scanner. Equities slumped on Thursday weighed by a Big Tech earnings report, surging crude oil prices (WTI crossed USD 90/bbl and Brent rose above USD 100/bbl) and the US 10-year government bond yield rising above 4.7%. The 10-year yield has gained almost 35bps since 29 June. We believe a 25bps rise in bond yields, which serves as the discount rate for valuing equities, can impact global equities by around 3-4%, so investors should remain disciplined as rate expectations shift. However, projected earnings growth of 15-20% in 2026 and 2027 should provide a meaningful cushion against rate-driven valuation pressure.

US earnings key support for equity outperformance. Big Tech is likely to show strong results and clearer AI monetisation in Q2. The tech sector has driven over half of global equity EPS upgrades since end-February, while AI adoption is still early in a multi-year cycle. We remain overweight US technology and communication services, and favour regions with stronger earnings visibility, particularly the US and Asia ex-Japan.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

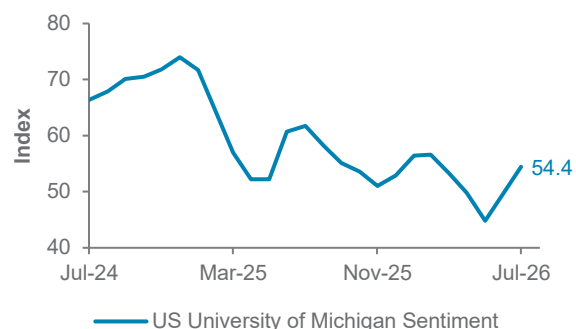
(+) factors: Robust consumer sentiment in the US and Euro area; China's new policy initiatives

(-) factors: Escalating geopolitical and trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US University of Michigan consumer sentiment index beat estimates in July - Euro area and Germany ZEW Survey expectations beat estimates in July	- US leading index fell by 0.2% m/m in June, below estimates - Japan's core consumer price inflation fell unexpectedly in June to 1.7% y/y
	Our assessment: Positive – Robust consumer sentiment in the US and Euro area	
Policy developments	Fed's Jefferson said current policy is well positioned to balance employment and inflation goals	- Fed's Hammack hinted the potential for a rate hike to combat sticky inflation - ECB kept its rate unchanged as expected, while President Lagarde hinted a potential Sep hike
	Our assessment: Neutral – Divergent Fed views, potential ECB rate hike	
Other developments	China pledged to hit its full-year growth target of 4.5-5% and emphasised accelerating policy implementation	- Yemen's Houthis launched strikes on two Saudi tankers, escalating the conflict into the Red Sea - The US widened Iran air-strikes and signalled peace talks unlikely; Iran fired back on US bases - The US launched new tariffs of 10-12.5% on imports from 60 countries and fresh 50% tariffs on a range of Canadian goods - President Trump planned a 100% tariff on generic drugs from Aug 2028
	Our assessment: Negative – Escalating geopolitical and trade tensions	

US University of Michigan consumer sentiment index rose to its highest level since February

US University of Michigan consumer sentiment index



Source: Bloomberg, Standard Chartered

Euro area ZEW survey of economic sentiment beat estimates significantly, reflecting growing confidence in the near-term recovery

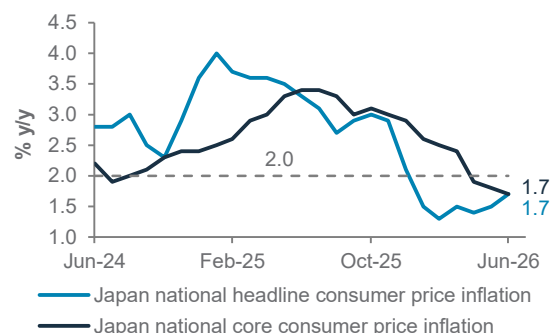
Euro area ZEW survey expectations



Source: Bloomberg, Standard Chartered

Japan's national core consumer price inflation fell in June to the lowest since Aug 2022, while headline inflation came in-line with expectations

Japan's headline and core (ex-fresh food and energy) consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What do you expect from US Big Tech earnings next week?

Our view: We expect US Big Tech companies to deliver solid Q2 earnings while demonstrating further evidence of AI monetisation. We are Overweight the US technology and communication services sectors.

Rationale: The US technology sector continues to be a primary driver of S&P500 earnings, with the **highest projected earnings growth** over the next 12 months. It is expected to see earnings growth of 65.6% y/y in Q2 and 57% in 2026, driven by AI demand.

Besides strong earnings growth, we expect US Big Tech companies to demonstrate that elevated AI capex is translating into **stronger monetisation**. US Census Bureau data indicates that AI adoption has already reached 20-25% across US industries. This **rapid uptake** signals strong **enterprise acceptance** and gives us greater confidence that AI usage remains in the early stages of a **multi-year growth cycle**. The emergence of cost-effective and high-performing Chinese AI models has raised some concerns about **AI commoditisation**, which can reduce the returns on AI capex. However, we believe that as AI resources become more efficient to use, total consumption will rise (Jevons paradox). To gain exposure, we are Overweight the US technology and communication services sectors, with the latter being dominated by large internet platforms.

— Fook Hien Yap, Senior Investment Strategist

Q What is your Q2 earnings outlook for the Japan and Europe financial sectors?

Our view: We expect a constructive earnings season for Japan and Europe ex-UK banks and remain Overweight both sectors.

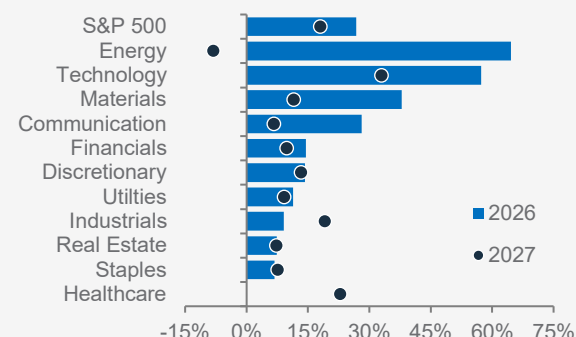
Rationale: The earnings backdrop for Japan banks is supported by the BoJ's two 25bps rate hikes in December 2025 and June 2026, which are feeding through via **lagged loan repricing** and **expanding domestic net interest margins**. Notably, the **regulatory easing** of Japan banks' exposure limits for individual corporate groups grants megabanks greater flexibility to underwrite large-scale M&A and AI data centre transactions. While the near-term earnings benefit is incremental, the medium-term implications are more meaningful, with greater flexibility to support **loan growth**.

Europe banks are also entering the Q2 earnings season with a constructive set of catalysts. Net interest income is benefiting from a higher-for-longer rate path, and fee income is supported by resilient investment banking activity and a stabilising wealth management segment. Meanwhile, **credit quality remains robust**, with the European Banking Authority's June 2026 Risk Assessment showing non-performing loan ratios sitting at historic lows. **Sustained capital distributions** via dividends and share buybacks continue to be a key catalyst and represent a compelling risk-adjusted return opportunity.

— Jason Wong, Senior Equity Analyst

The technology sector is expected to continue leading the US market in earnings growth over the next 12 months

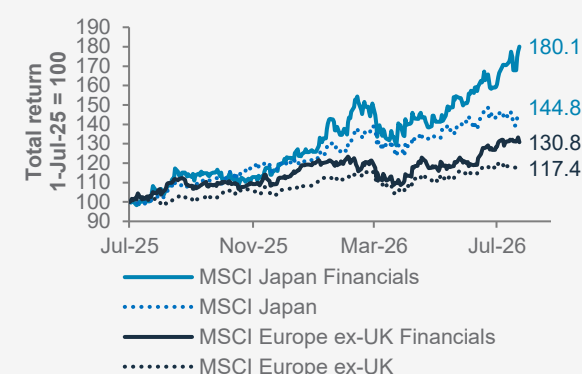
Projected 2026 and 2027 earnings growth by sector



Source: LSEG I/B/E/S, Standard Chartered

The Japan and Europe ex-UK financial sectors have been outpacing their broader indices, benefiting from a structural increase in domestic interest rates

Total returns of the MSCI Japan and Europe ex-UK financials sectors and the regional market indices



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What might be the implications of next week's Fed, BoJ and BoE policy meetings for bond and FX markets?

Our view: We expect the Fed, BoJ and BoE to keep policy rates unchanged. Guidance will be key: i) a neutral Fed should limit further gains in US bond yields and USD, ii) BoJ is expected to keep the door open to further policy normalisation; and iii) the BoE is likely to retain a cautious inflation bias.

Rationale: We expect the Fed to hold rates at 3.5-3.75%. Softer June US consumer inflation supports a hold, although **sustained strength in WTI oil prices could reinforce upside inflation risks**. A neutral message will likely cap short-term gains in government bond yields and reduce support for the USD, while renewed emphasis on inflation risks would lift yields elevated. The USD Index (DXY) is likely to remain **rangebound between 100.3 and 102**.

The BoJ is likely to hold its policy rate at 1.00% next week, but the weak JPY and imported inflation should preserve the possibility of further normalisation. Reports suggest some policymakers see scope for **faster policy normalisation** if JPY weakness, higher fuel costs and quicker cost pass-through push inflation above projections. Combined with our expectation that the Fed will remain on hold, this should eventually allow **USD/JPY to ease**. Technically, we believe the USD/JPY correction is likely to be gradual rather than immediate. FX intervention and **higher pension fund allocations** to domestic assets may slow JPY depreciation, but a sustained reversal will require a narrower US-Japan interest rate differential. A sustained move below 160 will bring the **155-158 range** into focus.

We expect another hold by BoE on 30 July, following June's 7-2 vote to hold rates at 3.75%. Persistent energy-driven inflation could keep UK Gilt yields elevated and support GBP, although weak activity and fiscal uncertainty may limit gains. **GBP/USD is likely to stay rangebound between 1.3200 and 1.3500**.

— Iris Yuen, Investment Strategist

Q Will the PBoC implement monetary easing measures, given China's weak Q2 GDP? Will this affect the CNH outlook?

Our view: A **reserve requirement ratio (RRR) cut remains possible, but any resulting CNH depreciation should be limited**.

Rationale: China's economy grew 4.7% in H1, in line with the government's annual growth target, although Q2 GDP moderated to 4.3% y/y from 5.0% in Q1. Industrial production and exports remained resilient. **Overall macroeconomic conditions do not suggest a urgent need for broad-based monetary easing**. An **RRR cut could weigh on the CNH initially** by reinforcing concerns over wider policy divergence with the US. However, such a cut primarily releases banking system liquidity and **does not necessarily signal a shift towards aggressive monetary easing**. We therefore expect any CNH weakness to remain measured, supported by China's external balance and policymakers' preference for exchange-rate stability. USD/CNH has near term support at 6.75.

— Iris Yuen, Investment Strategist

The USD index (DXY) remains rangebound between 100.3 and 102

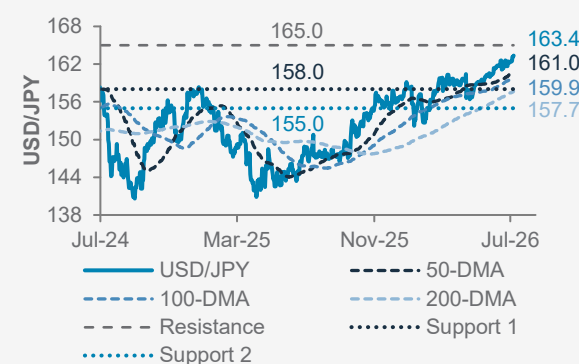
The DXY and technicals



Source: Bloomberg, Standard Chartered

USD/JPY intervention risk rises around 165

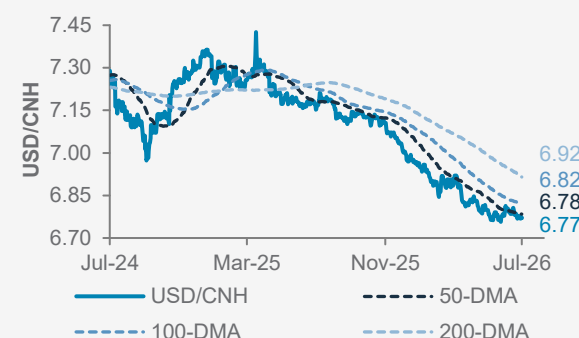
USD/JPY and technicals



Source: Bloomberg, Standard Chartered

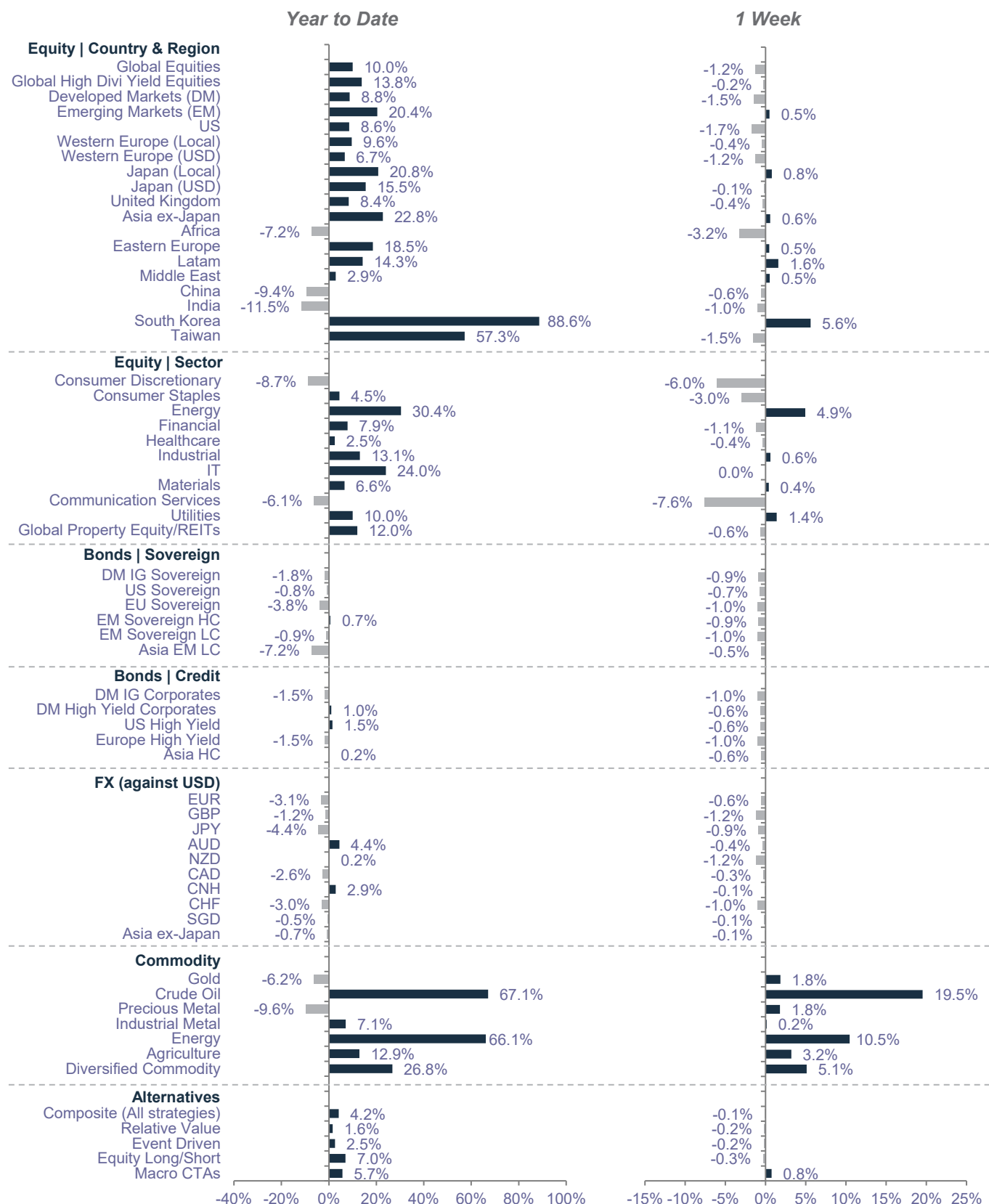
USD/CNH downtrend continues

USD/CNH and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 23 July 2026; 1-week period: 16 July 2026 to 23 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,562

Technical indicators for key markets as of 23 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,408	7,274	7,562	19.7	1.2
STOXX 50	6,210	6,117	6,367	15.0	3.2
FTSE 100	10,639	10,393	10,824	12.9	3.5
TOPIX	4,054	3,896	4,175	16.9	2.3
Shanghai Comp	3,877	3,687	4,121	13.0	3.1
Hang Seng	25,211	23,397	26,146	10.7	3.4
Nifty 50	23,870	23,593	24,339	18.3	1.8
MSCI Asia ex-Japan	1,110	1,046	1,186	10.7	2.3
MSCI EM	1,672	1,582	1,782	10.4	2.7
Crude oil (WTI)	92.2	75.0	101.4	na	na
Gold	4,049	3,928	4,187	na	na
UST 10Y Yield	4.69	4.46	4.82	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

Market Event		Period Expected	Prior
MON	CNH Industrial Profits y/y	Jun	– 21.1%
	EUR Germany IFO Business Climate	Jul	– 85.6
	USD Durable Goods Orders	Jun P	1.5% -4.5%
TUE	USD Conf. Board Consumer Confidence	Jul	92.0 91.2
WED			
THU	USD FOMC Rate Decision (Upper Bound)	29-Jul	3.8% 3.8%
	EUR Economic Confidence	Jul	– 95.0
	EUR Unemployment Rate	Jun	– 6.2%
	GBP Bank of England Bank Rate	30-Jul	– 3.8%
	USD Personal Income	Jun	0.3% 0.7%
	USD Real Personal Spending	Jun	0.2% 0.3%
	USD PCE Price Index y/y	Jun	3.6% 4.1%
	USD Core PCE Price Index y/y	Jun	3.3% 3.4%
	USD GDP Annualized q/q	2Q A	2.3% 2.1%
FRI/SAT	JPY BOJ Target Rate	31-Jul	– 1.0%
	CNH Manufacturing PMI	Jul	49.9 50.3
	CNH Non-manufacturing PMI	Jul	50.0 50.2
	EUR CPI y/y	Jul P	– 2.8%
	EUR CPI Core y/y	Jul P	– 2.4%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 23 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	→	1.80
Global Equities	●	↑	1.58
Gold	●	→	1.40
Equity			
MSCI US	●	↑	1.55
MSCI Europe	●	↑	1.78
MSCI AC AXJ	●	↑	1.63
Fixed Income			
DM Corp Bond	●	↑	1.80
DM High Yield	●	↑	1.71
EM USD	●	↑	1.95
EM Local	●	↓	1.63
Asia USD	●	→	1.89
Currencies			
EUR/USD	●	↓	1.36

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >



SC Wealth Insights

Find out more >



YouTube >



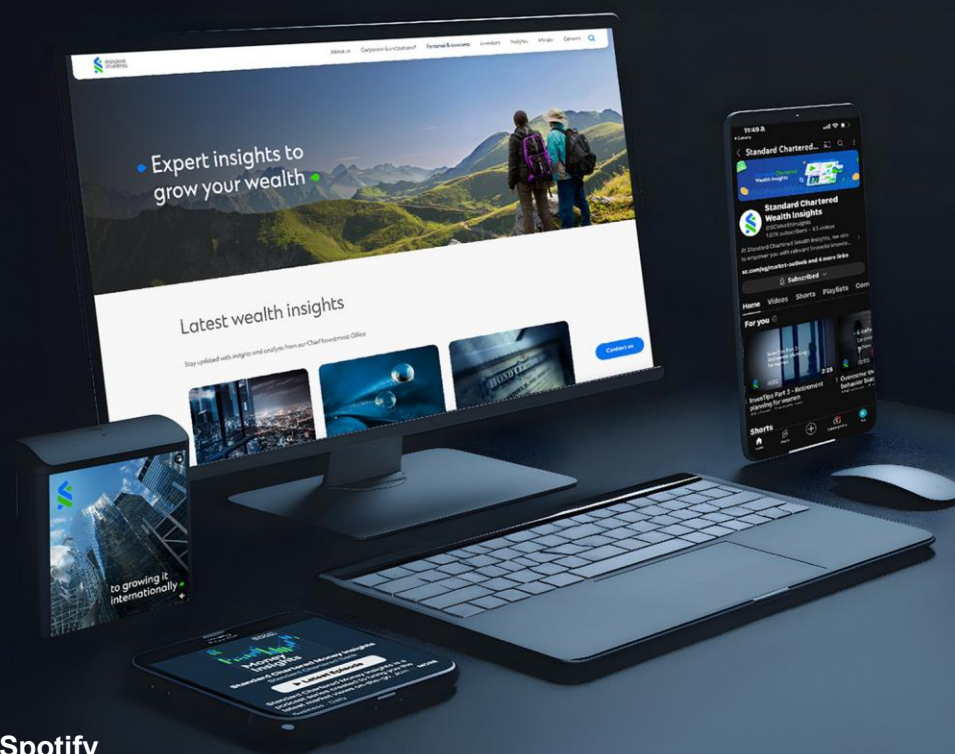
Facebook >



LinkedIn >



PvB LinkedIn >



SC Money Insights

4 podcasts shows on Spotify
and Apple platforms



Spotify >



Apple Podcasts >



Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an "SC Group Entity") according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Copyright © 2026, Accounting Research & Analytics, LLC d/b/a CFRA (and its affiliates, as applicable). Reproduction of content provided by CFRA in any form is prohibited except with the prior written permission of CFRA. CFRA content is not investment advice and a reference to or observation concerning a security or investment provided in the CFRA SERVICES is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. The CFRA content contains opinions of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. While CFRA exercised due care in compiling this analysis, CFRA, ITS THIRD-PARTY SUPPLIERS, AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes. No content provided by CFRA (including ratings, credit-related analyses and data, valuations, model, software or other application or output therefrom) or any part thereof may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, and such content shall not be used for any unlawful or unauthorized purposes. CFRA and any third-party providers, as well as their directors, officers, shareholders, employees or agents do not guarantee the accuracy, completeness, timeliness or availability of such content. In no event shall CFRA, its affiliates, or their third-party suppliers be liable for any direct, indirect, special, or consequential damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with a subscriber's, subscriber's customer's, or other's use of CFRA's content.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright "buy", "sell", "hold" or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group's trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the

preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MSCI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana:** This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46:04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam:** This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland:** This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong:** In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not

be disposed of, to any person unless such person is outside Hong Kong or is a “professional investor” as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana:** Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India:** This document is being distributed in India by Standard Chartered in its capacity as a distributor of mutual funds and referrer of any other third party financial products. Standard Chartered does not offer any ‘Investment Advice’ as defined in the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 or otherwise. Services/products related securities business offered by Standard Chartered are not intended for any person, who is a resident of any jurisdiction, the laws of which imposes prohibition on soliciting the securities business in that jurisdiction without going through the registration requirements and/or prohibit the use of any information contained in this document. **Indonesia:** This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey:** In Jersey, Standard Chartered Global Private Bank is the Registered Business Name of the Jersey Branch of Standard Chartered Bank. The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom and all business transacted with Standard Chartered Bank, Jersey Branch and other SC Group Entity outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya:** This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia:** This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad (“SCBMB”). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria:** This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan:** This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited

acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore:** This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, "SCBSL"). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 ("SFA")). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S\$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S\$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary Authority of Singapore. **Taiwan:** SC Group Entity or Standard Chartered Bank (Taiwan) Limited ("SCB (Taiwan)") may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE:** DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority ("DFSA"). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis. **Uganda:** Our Investment products and services are distributed by Standard Chartered Bank

Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom:** In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. **Vietnam:** This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia:** This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.